Energy and Environment Outlook

送信者: EG Energy, Climate & Resources 受信日時: 2026-11-13 21:52

【メール原文】

BAAJA’s 73-25 Senate cloture vote suggests it can clear the chamber, but the House is the real test, with Democrats there split on timing and Trump’s ||||||||||||||||

Energy and Environment Outlook
Customize Email Preferences

US permitting legislation remains on track

13 Nov 2026 07:49 EST Discover more on the Portal

Listen now · 14 min

- BAAJA remains moderately likely to pass in the lame-duck session
- Data centers will remain an affordability issue throughout 2027
- China's future LNG imports will be more price-sensitive than oil imports
- Germany’s next capacity tender unlikely to close southern power gap
- Brasilia’s intervention in oil and critical minerals will intensify

BAAJA remains moderately likely to pass in the lame-duck session
By Conor Frydenborg, Noah Daponte-Smith

The Senate’s 73-25 cloture vote on the motion to proceed on the Bipartisan American Affordability and Jobs Act (BAAJA) suggests it can pass the chamber. However, the decisive battle will be in the House, with party lines uncertain. Senate Democrats split almost evenly, while Senator Mike Rounds (R-SD) was the only Republican to vote no. In the House, Representative Jared Huffman (D-CA), who is in line to chair the Natural Resources Committee, wants to wait until the new Congress and says Democrats should insist on hearings and amendments. In contrast, some moderate Democrats want action now. President Donald Trump endorsed the bill on 8 November, though a day later said it “hasn’t been fully negotiated” and that he would not approve wind turbines even if it becomes law. That comment undercut the commitment to clear onshore wind approvals that helped secure the deal. Despite these travails, the bill remains moderately likely to pass (see: Miller appointment shows Trump is governing from the foxhole , 9 November 2026).

Outlook:

*

The amendment process means the final Senate vote will likely slip to next week. After that, the key questions are whether House leaders schedule a floor vote before the holidays and whether the administration’s partial walk-back of Trump’s remarks on wind reassures House Democrats. Floor time is also tight, with a short-term funding bill and the National Defense Authorization Act competing for the same weeks.

*

If the bill slips into 2027, its prognosis in Congress would become more negative, as Democrats would see stronger incentives to wait until 2029 to legislate a permitting overhaul on their own terms. If it did receive a 2027 vote, priorities for Democrats would probably be revising the litigation limits and the tribal and endangered species provisions; the transmission policy overhaul, at its core, would probably survive a rewrite. This includes Federal Energy Regulatory Commission (FERC) backstop siting, mandatory regional and interregional planning, and benefit-based cost allocation. The Edison Electric Institute's endorsement signals that investor-owned utilities will accept the ban on federal right-of-first-refusal rules in exchange for siting certainty, and that bargain should endure.

*

Mining is the most exposed part of the bill. BAAJA would allow claim holders with approved plans to locate multiple mill sites on federal land to store waste rock and tailings. Its litigation limits matter most for mines on public land. A Huffman-chaired committee with jurisdiction over the Mining Law is unlikely to accept those terms as written. That outcome would leave copper and lithium developers relying on executive fast-tracking that remains vulnerable in court.

Data centers will remain an affordability issue throughout 2027

By Conor Frydenborg, Noah Daponte-Smith

The 3 November US midterm elections confirmed data center power costs as a top electoral issue, regardless of what happens with BAAJA. In Georgia (one of ten states that elect utility regulators), Democrats won both Public Service Commission races, taking a 3-2 majority and ending decades of Republican control. Voters considered 41 local data center measures across ten states, including 21 in Ohio, and all but one went against data centers.

Outlook:

*

Cost allocation has the broadest bipartisan support within BAAJA. The bill would give FERC 90 days to revise transmission pricing, so data centers pay for both the existing system and the costs they impose. It would also bar utilities from shifting those costs to other customers for new data centers of any size, require financial guarantees against stranded assets, and allow states to charge data centers above cost (see: Permitting package would accelerate timelines and raise costs for data center power procurement , 1 October 2026). If the bill stalls, these provisions are likely to return early in 2027, either as a standalone bill or as part of a Democratic package.

*

Data center projects will still be able to win approval, but on tighter terms, including minimum bills, exit fees, upfront collateral, and tougher scrutiny of resource plans built on uncertain demand, and with fewer state and local tax abatements. Eurasia Group sees 85% odds that states will impose conditions on the buildout in 2027 without fundamentally changing its trajectory (see: States will condition, not ban, data centers after midterm backlash , 10 November 2026). Georgia will provide the first test once the new commissioners take office in January. The commission is unlikely to reverse approval for resources it has already granted, and contracts that clearly protect other customers will be best positioned.

*

Pressure will increase on governors who appoint commissioners. The most consequential example is Texas, which accounts for roughly a third of the planned US buildout. Governor-elect Gina Hinojosa will likely seek to extend the current pause on new grid interconnections, while working with a split

legislature to write conditions into state law in 2027. However, the backlash is not uniform. Republicans expanded their majority on Louisiana's commission, where District 5 is a data center hub.

China's future LNG imports will be more price-sensitive than oil imports
By Herbert Crowther

China's LNG imports are down in 2026, largely driven by geopolitical risk premiums created by the US-Iran war. Strength in domestic natural gas production and expansion of overland pipeline imports have also driven this reduction from an already weak 2025 baseline.

Outlook:

*
China's reaction function for LNG purchasing will be more price-sensitive than for oil. At current LNG prices, Chinese purchasers are unlikely to expand imports, unlike for crude, where they have already begun re-expanding imports to avoid depleting strategic national reserves.
*
If Asian LNG prices remain high, LNG will not find growth in the electricity sector of China's coastal provinces. Chinese planners are candid that power-sector demand is the primary uncertainty for long-term LNG demand growth in China. When global prices are high, Chinese purchasers will be increasingly comfortable reselling cargoes rather than competing against domestic electricity supplies.
*
When LNG prices are low, Chinese purchasers will expand imports, including to build larger coastal reserves and encourage LNG-fueled trucking. Building more coastal gas storage infrastructure is an energy investment priority for the 15th Five-Year Plan, largely to build buffers against future geopolitical disruptions when prices are low (as has been particularly helpful for Beijing this year in crude markets). For crude reserves, China is also likely to expand coastal storage infrastructure for Gulf crude supplies post-crisis.
*
Still, Chinese LNG demand is very likely to grow post-crisis, unlike oil demand, which will not return to pre-Iran levels (see: China's oil demand has peaked , 13 October 2026). For US energy exports in particular, Chinese purchasers remain interested in new US LNG purchase commitments but see little upside in oil purchase commitments.

Germany's next capacity tender unlikely to close southern power gap
By Henning Gloystein

This month, Germany awarded 5,160 megawatts (MW) of future reserve power capacity to 11 projects, the federal grid agency (Bundesnetzagentur) announced. That's 700 MW more than the initially announced 4.5 gigawatts (GW) for this year's tender, reflecting high interest from market participants who submitted 41 bids for a total capacity of 12 GW. The average annual capacity payment will be €155,000 per MW (high: €189,970/MW; low: €129,551/MW), which is below the maximum of €244,000 per MW/year that was set. The payment is awarded for 15 years, giving the overall tender a reserve payment of €800 million annually, and €12 billion over 15 years.

Outlook:

*
The power plants are planned to start operating from 2031 under a Capacity Reserve Market that the German government plans to introduce gradually from 2028. The tender was awarded to the most

competitive bids. The capacity market will be used to back up the increasingly dominant yet intermittent renewables being deployed in Germany. To avoid high gas prices dominating overall costs, these units are paid through the capacity market, which consumers will pay for via a levy once the market launches. Berlin hopes that the overall cheaper power costs coming from renewables will more than offset this fee.

*

Most capacity is going to industrialized central Germany regions in North Rhine-Westphalia (to RWE), Brandenburg (to LEKA), and Saxony (also to LEKA), where there is also a need to replace retiring coal-fired power. Northern Germany didn't receive bids because the region is already oversupplied with wind and solar. The southern German states of Bavaria and Baden-Wuerttemberg will receive only 6% of the capacity, which is potentially damaging given the region's already emerging power deficit.

*

All the capacity will be gas-fired (with conversion plans to become hydrogen-ready), even though the tender did not specify the required power source. Instead, a qualifying factor was that any source needed to be able to operate for at least ten hours to bridge potential intermittency in renewables, and that any unit needed to be able to ramp up within one hour. Large batteries currently cannot meet those criteria. Similarly, the tender allowed a maximum of 550 grams per kilowatt-hour of CO2 emissions, effectively excluding coal-fired power generation (too dirty without carbon capture technology, too expensive with it).

*

Another tender with the same technical conditions but with a smaller volume of 3,840 MW will be published on 10 November, with further tenders planned in 2027 (May and December), which will also allow for shorter bridging capabilities that will likely include large battery reserves. The government hopes the second tender will attract more bids from southern Germany, which already suffers a significant power supply shortfall.

Brasilia's intervention in oil and critical minerals will intensify

By Conor Frydenborg, Julia Thomson, Marcelo Alvarenga, Daniela Teles

President Luiz Inacio Lula da Silva's victory in Brazil's presidential election likely entails a more interventionist approach to Petrobras and critical minerals exploration. However, the sell-off in Brazilian markets after his reelection and investor pressure will likely push the administration toward regulatory policy continuity and a limited attempt to curb intervention. Market pressure is pushing his administration toward a fiscal course correction. In mining, the newly established National Council for the Industrialization of Critical and Strategic Minerals (CIMCE) will have the authority to approve changes in corporate control, the sharing of geological data, and participation in certain international agreements. That will position Brazil as more of a hedger in the US-China minerals contest than a strictly US-aligned partner.

Outlook:

*

A gradual phaseout of fuel subsidies and the current crude export tax is likely, but will take time. This reflects Brasilia's push to reduce government spending as part of its fiscal course correction, while containing any risk of inflationary pressure by early 2027. The pace of the phaseout will likely be slow, as oil prices remain elevated and global diesel supply will remain tight into 2027. Even with more favorable market conditions, the administration may choose to raise taxes on energy companies to boost government revenue (see: Markets face prolonged fuel squeeze even as crude flows recover , 6

November 2026). Petrobras's five-year plan due by the end of November will likely include diesel self-sufficiency, fertilizer production, fuel distribution, and critical minerals, underscoring Lula's focus on industrialization and supply chain security.

*

Incentives under the National Policy on Critical and Strategic Minerals are modest. They include a tax credit of up to 20% of local processing spending, capped at 1 billion reais per year in 2030-34. CIMCE has placed 27 minerals under its remit and classified rare earths as a high priority, seeking to capitalize on Brazil's roughly 23% share of global rare earth reserves. Rules on value-added requirements and several eligibility criteria still await regulation, a process that will indicate how restrictive the screening regime will be.

*

The government will accept both US and Chinese capital while pressing investors to commit to local processing and technology transfer. China is well placed to meet the local-processing requirement, with Brazil the largest destination for Chinese outbound investment in 2025. Continuing US tariffs on Brazilian goods also give Lula little reason to offer Washington preferential terms, even as bilateral ties improve modestly. The US-backed Serra Verde mine is, to date, Brazil's only commercial-scale rare earth operation and is set to reach full capacity by late 2027; it has already begun shipping its rare earth carbonate to the US.

Conor Frydenborg
Associate, Energy & Resources
+1 202.540.5149
frydenborg@eurasiagroup.net
Noah Daponte-Smith
Senior Analyst, United States
daponte-smith@eurasiagroup.net
Herbert Crowther
Senior Analyst, Energy & Resources
+1 435.625.7886
crowther@eurasiagroup.net
Henning Gloystein
Managing Director, Energy & Resources
+44 (0)73 898 444 98
gloystein@eurasiagroup.net
Julia Thomson
Analyst, Brazil
thomson@eurasiagroup.net
Marcelo Alvarenga
Analyst, Brazil
+55 11 3443.6382
alvarenga@eurasiagroup.net
Daniela Teles
Researcher, Brazil
teles@eurasiagroup.net
EG Energy, Climate & Resources

ecr@eurasiagroup.net

Now on iOS and Android
Get the Eurasia Group app
Read anywhere · Receive notifications · Reach out to analysts
App Store
Google Play

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.
X-HG-DocID cmweyyjty6ysd07lgyhgf2cg8

Opt Out | Customize Email Preferences